

City of Arroyo Grande

Annual

Development Impact Fee Report

Fiscal Year 2023-2024

Background

The City of Arroyo Grande (City) is located in Southern San Luis Obispo County. The City borders the incorporated cities of Pismo Beach and Grover Beach on the west, and adjoins unincorporated County territory along its other boundaries.

The Mitigation Fee Act (Government Code Sections 66000 et seq.), established by AB 1600, requires local agencies to provide an accounting of impact fees imposed on development projects. These fees are intended to mitigate certain impacts of development projects on City facilities and infrastructure.

The accounting and reporting responsibilities of AB 1600 require the City to provide a detailed reporting of the use of development impact fees every year in accordance with Government Code section 66006.

Annual Development Impact Fee Reporting Requirements

Pursuant to Government Code section 66006(b), the City is required to make available to the public the following information each year:

1. A brief description of the type of fee in the account.
2. The amount of the fee.
3. The account's beginning and ending balance.
4. The amount of fees collected and the interest earned.
5. A description of the improvements on which the funds were expended and the amount expended on each improvement, including the percentage of the improvement funded with development impact fees.
6. An approximate date by which the construction of a public improvement will begin if the City determines that sufficient funds have been collected to complete financing on the incomplete improvement.
7. A description of each inter-fund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan.
8. The amount of any refunds made for failing to identify the approximate date by which construction of the public improvement will commence within 180 days of the local agency's determination that sufficient funds have been collected to complete financing on an incomplete public improvement.
9. Identify all public improvements identified in previous annual reports as having sufficient funding for completion, and whether construction began on the approximate date previously listed. If construction did not begin on the approximate date listed in a prior report, the annual report must include the reason for the delay and a revised approximate date that construction will begin.
10. Specify the number of persons and entities identified to receive refunds.

List of City's Development Impact Fees

There are eight active Development Impact Fees identified as subject to AB 1600 reporting requirements.

1. Fire Protection Fund (Fund 210)
2. Police Protection Fund (Fund 212)
3. Park Improvement Fund (Fund 214)
4. Recreation Facilities Fund (Fund 215)
5. Traffic Signalization Fund (Fund 222)
6. Transportation Facility Impact Fund (Fund 224)
7. Water Neutralization Impact Fund (Fund 226)
8. Storm Drain Facility Fund (Fund 231)

Commencement of Annual DIF Reports for Each Fund

The first annual report for the Traffic Signalization Fee, the Transportation Facility Fee, and the Drainage Facility Fee was required in January 1999. The first annual report for the Water Neutralization Fee was in 2003. The first annual report for the Fire Protection Fee, the Police Facilities Fee, the Community Center Fee, and the Park Improvement Fee was in 2005.

Separation of Funds and Interest

The City utilizes fund accounting to track and segregate Development Impact Fees from other City revenues. Although the City pools its cash for investment purposes, interest income is allocated to each of the funds based on their respective cash balances. Staff examined the accounts to determine if any Development Impact Fees remain unexpended. No inter-fund transfers or loans have been made to any of the Development Impact Funds. The most recent Development Impact Fee Study was prepared in 2024.

Fire Protection Fund (Fund 210)

The purpose the Fire Protection Fee is to ensure that new development funds its share of fire protection facilities. The City owns a single fire station. The City is planning to spend fire facilities fee revenues on an expansion and reconfiguration of the sleeping quarters at the fire station. This will allow the Five Cities Fire Authority to increase staffing and service capacity as the City grows.

The Current Amount of the DIF for Residential per square foot is \$0.24 and for Nonresidential per square foot Commercial is \$0.21 and Office is \$0.32.

	FY 23-24 Actual
Revenues:	
Impact Fees	\$ 28,072
Interest Income	16,289
Transfers in - operating	
Total Revenues	44,361
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	44,361
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	44,361
-	-
Fund Balance, Beginning of Year	382,384
Fund Balance, End of Year	\$ 426,745

Fire Protection Funds were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Fire Protection Fund. There were no refunds made from the Fire Protection Fund and no one was entitled to receive a refund.

Police Protection Fund (Fund 212)

The purpose the Police Protection Fee is to ensure that new development funds its share of police protection facilities. This fee provides funding for the expansion of police facilities, including upgrades to its records management system, upgrades to property and evidence storage, and new community safety cameras.

The Current Amount of the DIF for Residential per square foot is \$0.17 and for Nonresidential per square foot Commercial is \$0.15 and Office is \$0.23.

	FY 23-24 Actual
Revenues:	
Impact Fees	\$ 3,065
Interest Income	2,439
Total Revenues	5,504
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	5,504
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	5,504
	-
Fund Balance, Beginning of Year	58,518
Fund Balance, End of Year	\$ 64,022

Police Protection Funds were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Police Protection Fund. There were no refunds made from the Police Protection Fund and no one was entitled to receive a refund.

Park Improvement Fund (Fund 214)

The purpose the park facilities impact fee is to fund park facilities needed to serve new development. This fee is to be used to fund the purchase and improvement of over 8 parkland acres.

The Current Amount of the DIF for Residential per square foot is \$3.22.

	FY 23-24 Actual
Revenues:	
Impact Fees	\$ 48,012
Interest Income	8,233
Total Revenues	56,245
Expenditures:	
Operating Expenses	38,487
Excess of Revenues Over Expenditures	17,759
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	17,759
	-
Fund Balance, Beginning of Year	189,988
Fund Balance, End of Year	\$ 207,747

Park facilities impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Park Improvement Fund. There were no refunds made from the Park Improvement Fund and no one was entitled to receive a refund.

Recreation Facilities Fund (Fund 215)

The purpose the recreations facilities impact fee is to ensure that new development funds its fair share of recreation facilities. The City's recreation facilities inventory is comprised of the Community Center/Woman's Club, Historical Society Complex, and Mark M. Millis Community Center. The City plans to construct a new community center to replace the Millis Community Center.

The Current Amount of the DIF for Residential per square foot is \$0.17.

	FY 23-24 Actual
Revenues:	
Impact Fees	\$ 2,763
Interest Income	1,219
Expense Recovery	
Total Revenues	<u>3,982</u>
Expenditures:	
Operating Expenses	<u>-</u>
Excess of Revenues Over Expenditures	<u>3,982</u>
Other Financing Uses:	
Capital Transfers Out	<u>-</u>
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	<u>3,982</u>
	-
Fund Balance, Beginning of Year	<u>28,486</u>
Fund Balance, End of Year	<u>\$ 32,468</u>

Recreation facilities impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Recreation Facilities Fund. There were no refunds made from the Recreation Facilities Fund and no one was entitled to receive a refund.

Traffic Signalization Fund (Fund 222)

The purpose of the Traffic Signalization Impact Fee is to install traffic signals needed to serve future development in the study. This fee revenues are used to fund the construction of traffic signal systems, signs, and other traffic control devices. The projects are based on the City's signalization plan and General Plan Circulation Element.

This development impact fee is not longer being collected as of April 14, 2024.

	FY 23-24 Actual
Revenues:	
Traffic Signal Assessments	\$ 12,652
Interest Income	46,541
Total Revenues	<u>\$ 59,193</u>
Expenditures:	
Operating Expenses	<u>-</u>
Excess of Revenues Over Expenditures	<u>59,193</u>
Other Financing Uses:	
Capital Projects	<u>-</u>
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	<u>59,193</u>
Fund Balance, Beginning of Year	<u>1,136,640</u>
Fund Balance, End of Year	<u>\$ 1,195,833</u>

Traffic signalization impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Traffic Signalization Fund. There were no refunds made from the Traffic Signalization Fund and no one was entitled to receive a refund.

Transportation Facility Impact Fund (Fund 224)

The purpose the transportation impact fee is to ensure that transportation facilities and demand can accommodate growth within the City. The fees will fund projects identified in the Arroyo Grande Citywide Circulation Study to mitigate new development's impact on traffic level of service as new development added trips to the City's circulation network.

The Current Amount of the DIF for Residential per square foot is \$1.37 and for Nonresidential per square foot Commercial is \$6.94 and Office is \$7.27.

	FY 23-24 Actual
Revenues:	
Transportation Impact Fees	\$ 43,218
Interest income	110,033
Total Revenues	153,251
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	153,251
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	153,251
Fund Balance, Beginning of Year	2,682,500
Fund Balance, End of Year	\$ 2,835,751

Transportation facility impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Transportation Facility Impact Fund. There were no refunds made from the Transportation Facility Impact Fund and no one was entitled to receive a refund.

Water Neutralization Impact Fund (Fund 226)

The purpose of this fee is to ensure that water facilities and demand can accommodate growth within the City. The need for water facilities improvements is based on the water demand placed on the system by development and the Water System Master Plan.

The Current Amount of the DIF is based on meter size shown in the table below:

Meter Size	Water Impact Fee per Meter
5/8 inch	\$ 2,588
3/4 inch	3,881
1 inch	6,469
1-1/2 inch	12,938
2 inch	20,701
3 inch	38,814
4 inch	64,690
6 inch	129,380

Here is a reporting of the Revenues, Expenditures, and change in Fund Balances at June 30, 2024.

	FY 23-24 Actual
Revenues:	
Water Neutralization Fee	\$ 45,781
Interest Income	9,285
Transfer In - Water Fund	-
Total Revenues	55,066
Expenditures:	
Operating Expenses	22,199
Excess of Revenues Over/(Under) Expenditures	32,867
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	32,867
Fund Balance, Beginning of Year	218,316
Fund Balance, End of Year	\$ 251,183

Water impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Water Neutralization Impact Fund. There were no refunds made from the Water Neutralization Impact Fund and no one was entitled to receive a refund.

Storm Drain Facility Fund (Fund 231)

The purpose of this fee is to ensure that storm drain facilities and demand can accommodate growth within the City. Most new development generates storm water runoff that must be controlled through storm drain facilities by increasing the amount of land that is impervious to precipitation. The new storm drain facilities were identified in the City's FY 2023-25 Biennial Budget, and by City staff.

The Current Amount of the DIF for Residential per square foot is \$0.03 and for Nonresidential per square foot Commercial and Office is \$0.01.

	FY 23-24 Actual
Revenues:	
Drainage Fees	\$ 74
Interest Income	-
Total Revenues	74
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	74
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	74
	-
Fund Balance, Beginning of Year	5,891
Fund Balance, End of Year	\$ 5,965

Storm drain impact fees were not spent on improvements in FY 2023-24. There are no inter-fund transfers or loans made from the Storm Drain Facility Fund. There were no refunds made from the Storm Drain Facility Fund and no one was entitled to receive a refund.